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The Editors
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Dear Editors,

We are pleased to submit the manuscript “*Bitter Pills to Swallow: The Enforcement Costs of Health Litigation*” for consideration as a **Short Paper** in the *Journal of Public Economics*.

Contribution. The paper provides the first estimates of the fiscal cost of judicial enforcement in public procurement. Using bid-level administrative data on 479,330 pharmaceutical purchases by the São Paulo State Department of Health over 2009–2019, we show that court-mandated procurement raises per-unit prices by 5.4%, reduces bidder participation by 5.4%, and nonetheless closes tenders at higher rates—a pattern consistent with officials accepting worse terms to avoid personal sanctions.

Identification. Our institutional setting includes a quasi-unique feature: a parallel *administrative-request* channel that shares all planning constraints with litigated procurement but carries no penalties for procurement failure. Comparing litigated and administrative urgent purchases within the same item—what we call the “under the gun” comparison—isolates a 23–30% cost gap attributable to the sanction regime. We frame this as a descriptive decomposition rather than a structural causal parameter, discuss threats to identification explicitly, validate parallel trends using the honest-DiD imputation estimator of Borusyak-Jaravel-Spiess (2024), and falsify the premium on items never subject to litigation.

Mechanism. A supplier-fixed-effects decomposition splits the premium roughly in half between demand-side selection (officials accept worse matches under pressure) and within-firm markups (the same suppliers charge more when the government has no alternative), with distinct policy implications for each channel. Brazil’s recent procurement reform (Lei 14.133/2021), which introduces framework agreements, could mitigate the quantity-fragmentation channel we document.

JPubE fit. The paper sits at the intersection of procurement design, judicial enforcement, and fiscal efficiency—themes central to the journal’s agenda. We comply with the Short Paper track constraints: the body totals 5,370 words (well under the 6,000-word cap), uses 5 exhibits (4 tables and 1 figure), and is self-contained—the main conclusions do not depend on the Online Appendix.

Supplementary material. The Online Appendix (submitted separately) contains descriptive statistics, within-item balance tests, honest-DiD estimates, sensitivity to winsorization,

heterogeneity by item class and market competition, and the hand-labeled validation of our regex-based classification.

Declarations. The work is original, has not been published elsewhere, and is not under consideration at any other journal. The authors report no conflicts of interest. Replication code and de-identified data files will be shared upon request, subject to the confidentiality restrictions imposed by the São Paulo State Department of Health.

We defer to your editorial judgment on referees but would gladly suggest potential reviewers if helpful. Thank you for considering our submission.

Sincerely,

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